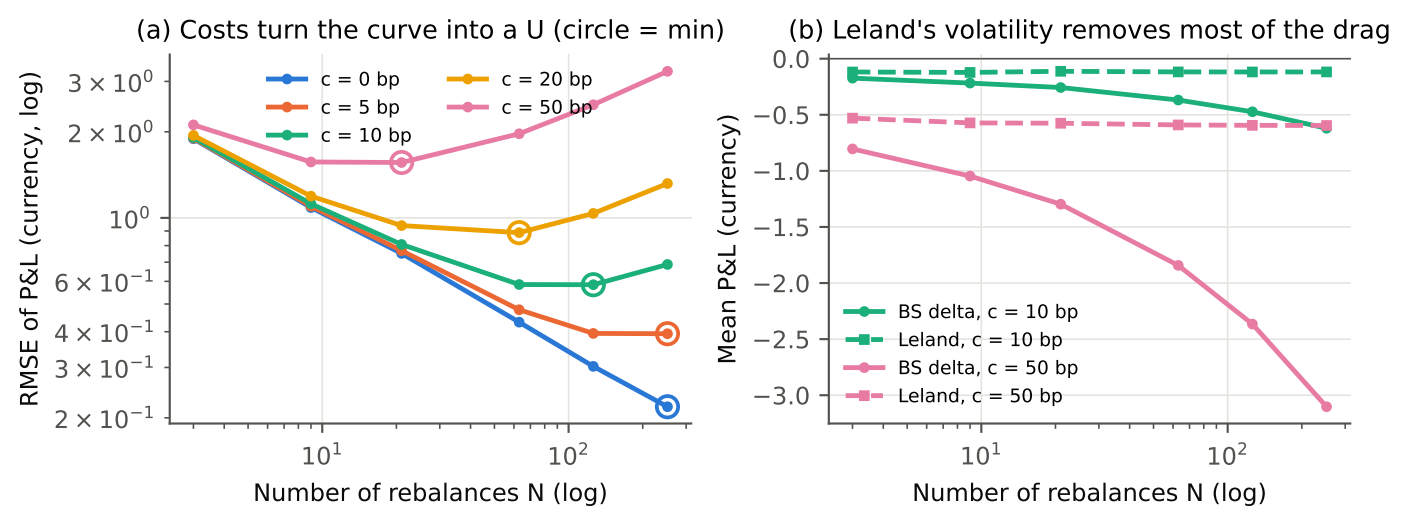
(a) Costs turn the curve into a U (circle = min)
RMSE of P&L (currency, log)
Number of rebalances N (log)
c = 0 bp
c = 5 bp
c = 10 bp
c = 20 bp
c = 50 bp
(b) Leland's volatility removes most of the drag
Mean P&L (currency)
Number of rebalances N (log)
BS delta, c = 10 bp
Leland, c = 10 bp
BS delta, c = 50 bp
Leland, c = 50 bp